Summary & Recommendation

– Customer Churn Analysis

This analysis was conducted to identify the factors influencing customer churn and to uncover opportunities for improving customer retention. The dataset contains customer demographic information, subscribed services, contract details, payment methods, and churn status.

Overall Churn Rate

Out of all customers analyzed, **26.5% of customers have churned**, while **73.5% have remained with the company**. This indicates that approximately **1 in every 4 customers leaves the service**, making customer retention a significant business concern.

Key Findings

Customer Demographics

- Senior citizens represent a smaller portion of the customer base but exhibit a noticeably higher churn rate than non-senior customers.
- Non-senior customers account for the majority of retained customers, suggesting stronger long-term loyalty within this segment.

Customer Tenure

- Customers with shorter tenure show significantly higher churn rates compared to long-term customers.
- Most churned customers are concentrated within the first few months of service, indicating that the initial customer experience plays a critical role in retention.
- Customers who remain with the company for longer periods are considerably less likely to churn.

Contract Type

- Customers on **month-to-month contracts** exhibit the highest churn rate among all contract categories.
- Customers with **one-year and two-year contracts** demonstrate substantially lower churn rates, highlighting the effectiveness of long-term contractual commitments in improving retention.
- The findings suggest that encouraging customers to transition from month-to-month plans to longer-term contracts could significantly reduce churn.

Internet Services

- Customers using **Fiber Optic internet services** experience the highest churn levels among internet service users.
- DSL customers display comparatively lower churn rates.
- Fiber Optic customers therefore represent a high-risk segment that may require service-quality improvements or targeted retention strategies.

Value-Added Services

Customers who do not subscribe to the following services show consistently higher churn rates:

- Online Security
- Online Backup
- Device Protection
- Tech Support

Conversely, customers utilizing these services are more likely to remain with the company, indicating that these features contribute positively to customer satisfaction and retention.

Streaming Services

- Streaming TV and Streaming Movies show relatively small differences in churn behavior.
- These entertainment services appear to have a weaker influence on customer retention compared to security and support-related services.

Payment Methods

- Customers paying through **Electronic Check** account for the highest number of churn cases (**1,071 churned customers**).
- In comparison, churn among customers using **Automatic Bank Transfer (258)** and **Automatic Credit Card Payments (232)** is substantially lower.
- Customers enrolled in automatic payment methods demonstrate stronger retention and lower churn risk.

Business Recommendations

Based on the analysis, the company should focus on:

1. Reducing churn among month-to-month contract customers through incentives for longer-term plans.
2. Improving customer experience and satisfaction among Fiber Optic internet users.
3. Promoting Online Security, Backup, Device Protection, and Tech Support services.

4. Encouraging customers to adopt automatic payment methods instead of electronic checks.
5. Strengthening onboarding and engagement initiatives during the early stages of the customer lifecycle.

Conclusion

Customer churn is primarily driven by short tenure, month-to-month contracts, Fiber Optic internet usage, lack of support/security services, and electronic check payment methods. By targeting these high-risk customer segments and promoting retention-focused services, the company can reduce churn, improve customer satisfaction, and increase long-term revenue.